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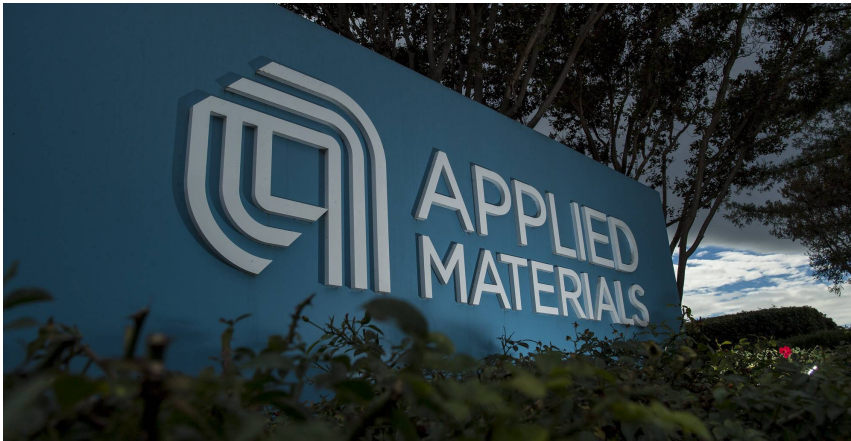
BUSINESS • EARNINGS

Applied Materials Profit Rises 21% But New Orders Miss Expectations

New orders rose 25% to \$3.03 billion in the latest quarter, below a forecast by analysts of \$3.21 billion

By Tess Stynes

Updated Nov. 17, 2016 at 7:27 pm ET



BLOOMBERG NEWS

Applied Materials Inc. **AMAT -4.29%** ▼ said its earnings jumped sharply in the three months ended in October, but the chip-gear maker's new orders missed expectations, sending shares lower.

In recent after-hours trading, Applied Material's shares fell 4.9% to \$29.15.

Applied makes equipment used in the manufacturing of semiconductors, which depends on a relatively small number of chip makers that write very big checks. But the size of those checks can vary greatly, depending on where those chip makers are in their production cycles.

In the latest quarter, new orders rose 25% to \$3.03 billion. Analysts had expected new orders to reach \$3.21 billion, according to FactSet.

For the period ended Oct. 30, Applied Materials reported a profit of \$610 million, or 56 cents a share, up from \$336 million, or 28 cents a share, a year earlier. Excluding share-based compensation and other items, adjusted per-share earnings rose to 66 cents from 29 cents. Revenue increased 39% to \$3.3 billion and climbed 17% sequentially.

The company expected per-share profit of 61 cents to 69 cents and revenue growth of 15% to 19% sequentially.

For the current quarter, the company forecasted per-share earnings of 62 cents to 70 cents and revenue of \$3.20 billion to \$3.34 billion. Analysts polled by Thomson Reuters expected per-share profit of 58 cents and revenue of \$3.12 billion.

Corrections & Amplifications:

An earlier version of this article incorrectly compared Applied Materials' financial results to the previous quarter but said they were compared to the prior year.

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